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Case Number: 23STCV15893 Hearing Date: June 29, 2026 Dept: 224

Plus Management v. Cho et al.,

TENTATIVE RULING

The demurrer is OVERRULED as to the First, Second, Third, and Fourth Causes of Action and SUSTAINED with leave to amend as to the Fifth Cause of Action. The motion to strike is DENIED.

Defendants to file an Answer within 30 days. Given the age of this case, the Court intends to set trial on 10/25/27 at 10:00 a.m. The parties should be prepared to set the trial date.

ANALYSIS

Introduction

On July 7, 2023, Plaintiff Plus Management, Inc. filed the Complaint in this action.

On November 25, 2024, Plaintiff filed the First Amended Complaint.

On August 28, 2025, the Court sustained Defendants Justin Cho, Sun Woo Cho, and Major Merchandise, Inc.'s demurrer to the FAC with leave to amend, and ruled on the accompanying motion to strike.

On September 17, 2025, Plaintiff filed the operative Second Amended Complaint.

On October 16, 2025, Defendants Justin Cho, Sun Woo Cho, and Major Merchandise, Inc. filed the instant Demurrer to the SAC and a concurrent Motion to Strike portions of the SAC.

On June 16, 2026, Plaintiff filed an opposition.

On June 17, 2026, Defendants filed a reply.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Jacob Bach, executed on October 16, 2025, sets forth the meet and confer efforts of counsel for the Defendants, and counsel's attempts to resolve the dispute telephonically. The declaration satisfies the requirement of Code of Civil Procedure section 430.41.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

First Cause of Action: Aiding and Abetting Breach of Fiduciary Duty

Defendants demur to the aiding and abetting cause of action on the grounds that the SAC fails to state facts sufficient to state a cause of action.

The elements of the tort of aiding and abetting are: (1) the defendant knew that an underlying tort was going to be committed by a third party against the plaintiff; (2) that the defendant gave substantial assistance or encouragement to the third party; and (3) that the defendant's conduct was a substantial factor in causing harm to the plaintiff. (Casella v. SouthWest Dealer Services, Inc. (2007) 157 Cal.App.4th 1127, 1140-1141; CACI No. 3610.) One who aids and abets is a cotortfeasor; thus, in order for there to be liability, there must be a completed underlying tort. (Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1146.) The elements for a breach of fiduciary duty cause of action are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach. (Thomson v. Canyon (2011) 198 Cal.App.4th 594, 604.)

The Court previously found the FAC did not allege that Defendants knew the breach was going to be committed, did not identify which duties were breached, and pleaded knowledge in conclusory fashion.

The SAC cures these defects. It alleges that Defendants conceived the scheme (SAC ¶ 13), met and recruited the Employees and negotiated their secret compensation (SAC ¶ 17), funded their salaries and provided workspace, equipment, and covert email accounts including one made anonymous "so that she would not be caught" (SAC ¶¶ 20-21), directed the taking of specific files and vendor information (SAC ¶¶ 27-28), and acknowledged the wrongfulness of the conduct in their own emails (SAC ¶ 31). It identifies the duties breached as loyalty, non-competition, and non-use of confidential information. (SAC ¶¶ 19, 63.) A defendant who designs and directs a breach necessarily knows it is a breach. (American Master Lease LLC v. Idanta Partners, Ltd. (2014) 225 Cal.App.4th 1451, 1475-1477.) Defendants' contention that this describes only lawful preparation to compete raises factual disputes; knowledge and substantial assistance are questions of fact. (Fiol v. Doellstedt (1996) 50 Cal.App.4th 1318, 1326.) The group-pleading objection fails, as the SAC attributes distinct conduct to each Defendant. (SAC ¶¶ 21, 23, 25, 27-28, 52.)

The demurrer is OVERRULED.

Second Cause of Action: Fraudulent Transfer

Defendants demur on the grounds that the SAC fails to plead that Defendants are "debtors" and fails to plead an actual transfer made with intent to defraud.

A fraudulent conveyance is a transfer by the debtor of property to a third person undertaken with the intent to prevent a creditor from reaching that interest to satisfy its claim. A transfer under the UFTA is defined as every mode, direct or indirect, absolute or conditional, voluntary or involuntary, of disposing of or parting with an asset, and includes payment of money, release, lease, and creation of a lien or other encumbrance. (CC § 3439.01(i).)

A transfer of assets made by a debtor is fraudulent as to a creditor, whether the creditor's claim arose before or after the transfer, if the debtor made the transfer with an actual intent to hinder, delay, or defraud any creditor, or without receiving reasonably equivalent value in return under the conditions stated in the statute. (Kirkeby v. Superior Court (2004) 33 Cal.4th 642, 648.) A "creditor" is a person who has a claim, and a "debtor" is a person who is liable on a claim. (Civ. Code § 3439.01(b), (e).) A "claim" includes a right to payment whether or not reduced to judgment, and whether liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, or undisputed. (Civ. Code § 3439.01(b).) A "transfer" includes every mode, direct or indirect, of disposing of or parting with an asset. (Civ. Code § 3439.01(m).)

The Court previously found the FAC did not allege how Defendants were liable such that they were "debtors," or that any transfer was made with intent to defraud. That defect followed from the absence of an adequately pleaded underlying tort. The SAC now pleads that tort. Plaintiff's resulting right to payment is a "claim" though unreduced to judgment, so Plaintiff is adequately alleged to be a creditor. (Civ. Code § 3439.01(b).) Defendants' position that a person cannot be a debtor until liability is established cannot be reconciled with the statute.

The SAC alleges the assets were moved from Root to Major. (SAC ¶¶ 49-52, 58.) A UVTA remedy lies against the transferee, and Major is the alleged transferee. (Civ. Code § 3439.07.) The individual Defendants are alleged to have created and used Major as the vehicle and directed the transfer (SAC ¶¶ 51-52), which suffices under conspiracy principles for fraudulent transfer. (Filip v. Bucurenciu (2005) 129 Cal.App.4th 825, 837.) The SAC pleads multiple badges of fraud, including transfer to an insider, retained control, concealment, transfer during the pending action, transfer of substantially all value, and lack of equivalent value. (SAC ¶¶ 45, 49-52, 58.) Intent is a question of fact. (Filip, supra, at p. 834.)

The demurrer is OVERRULED.

Third Cause of Action: Fraudulent Concealment/Misrepresentation

Defendants demur on the grounds that the SAC fails to allege a duty to disclose owed by these Defendants, fails to allege their personal intent to defraud, and fails to allege justifiable reliance.

"The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact. [Citation.] [Citation.]" (Hambrick v. Healthcare Partners Medical Group, Inc. (2015) 238 Cal.App.4th 124, 162.)

Ordinarily, "fraud must be pleaded specifically; general and conclusory allegations do not suffice." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.). "This particularity requirement necessitates pleading facts which show how, where, to whom, and by what means" the alleged fraud occurred. (Id.) The purpose of the particularity requirement is to "separate meritorious and nonmeritorious cases, if possible in advance of trial." (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.)

Some cases, however, conclude that this standard is less stringent when the defendant already has " 'full information concerning the facts of the controversy.' " (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 217, superseded by statute on other grounds as stated in Californians for Disability Rights v. Mervyn's, LLC (2006) 39 Cal.4th 223, 227.)

The Court previously found the FAC did not allege a duty to disclose owed by these Defendants, or their personal intent to defraud. The SAC still locates the disclosure duty in the Employees (SAC ¶¶ 63, 68), which alone does not cure that defect.

The SAC now also includes allegations of affirmative misrepresentation, for which no duty to disclose is required: that Justin Cho personally represented to Nordstrom that Major would replace Root (SAC ¶ 52), and that Defendants devised and directed false discovery responses in the prior action through counsel they retained and controlled (SAC ¶¶ 47, 64, 66). Whether Plaintiff justifiably relied, and whether litigation conduct is independently actionable, are questions not resolvable on demurrer. Reliance and damages are pleaded. (SAC ¶ 57.)

The demurrer is OVERRULED.

Fourth Cause of Action: Unfair Competition

Defendants demur on the grounds that the UCL claim is derivative and that a corporate competitor cannot sue under section 17200.

California's Unfair Competition Law prohibits any unlawful, unfair, or fraudulent business act or practice. (Bus. & Prof. Code, § 17200.) The unlawful prong borrows violations of other laws and treats them as independently actionable. (Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 180.)

The SAC now predicates the unlawful prong on the other violations alleged. (SAC ¶¶ 73-77.)

The demurrer is OVERRULED.

Fifth Cause of Action: Negligence

Defendants demur on the grounds that the SAC fails to allege a legal duty of care owed by these Defendants to Plaintiff.

To plead a cause of action for negligence, one must allege (1) a legal duty owed to the plaintiff to use due care; (2) breach of duty; (3) causation; and (4) damage to the plaintiff. (County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal.App.4th 292, 318.)

In ruling on the FAC, the Court found that Plaintiff had not alleged facts sufficient to show that Defendants owed a direct and specific duty to Plaintiff, and had not alleged that the wrongdoing constituted a breach of a duty owed to Plaintiff.

The SAC still does not cure this defect. The FAC alleged a generic duty "to act reasonably and not harm others unreasonably." (FAC ¶ 49.)

The SAC adds only that Defendants "failed to satisfy their duty to properly supervise the Employees while they worked for Root and/or Major." (SAC ¶ 86.) Neither pleading identifies a legal relationship giving rise to a duty of care owed by these Defendants to Plaintiff, a competitor. Paragraph 86 repackages as negligence the intentional conduct alleged throughout the SAC. Plaintiff acknowledges that "the negligence claim is more attenuated than Plaintiff's other claims" and that the same conduct supporting the intentional torts cannot be recharacterized as negligence, and requests leave to amend without identifying any source of duty. (Opp. p. 16.) Nor does Plaintiff set forth what facts will cure this deficiency.

The demurrer is SUSTAINED WITHOUT LEAVE TO AMEND, as Plaintiff has now had 3 opportunities to adequately allege the cause of action.

Motion to Strike

Demurring Defendant move to strike Plaintiff's prayers for and allegations related to punitive damages in the SAC.

Punitive Damages

"In order to state a prima facie claim for punitive damages, a complaint must set forth the elements as stated in the general punitive damage statute, Civil Code section 3294." (Turman v. Turning Point of Central California, Inc. (2010) 191 Cal.App.4th 53, 63) The statutory elements for punitive damages require that a defendant is guilty of "fraud, oppression, or malice." (See Civ. Code, § 3294 (a).) Malice is conduct "intended by the defendant to cause injury to plaintiff, or despicable conduct that is carried on by the defendant with a willful and conscious disregard for the rights or safety of others." (Civ. Code, § 3294, subd. (c)(1).) "Oppression" means "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code, § 3294 subd. (c)(2).) "Fraud" is "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code, § 3294 subd. (c)(3).)

In order to survive a motion to strike a prayer for punitive damages, a plaintiff must plead ultimate facts showing its entitlement to such relief. (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255 (Clauson).) Allegations, devoid of any factual assertions, are insufficient to support a conclusion that parties acted with oppression, fraud, or malice. (Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1042.) "In ruling on a motion to strike, courts do not read allegations in isolation." (Clauson, supra, 67 Cal.App.4th at p. 1255.)

"The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. [Citation.] Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim. [Citation.]" (Grieves v. Superior Court (1984) 157 Cal.App.3d 159, 166, fn. omitted.)

The SAC alleges that Defendants conceived the scheme to misappropriate Plaintiff's Nordstrom business, recruited Plaintiff's fiduciaries, directed the concealment, and made and directed affirmative misrepresentations. (SAC ¶¶ 13, 16-21, 27-28, 52, 64, 66.) The SAC further alleges that "[t]he Defendants misconducts were willful, knowing, and intentional, and therefore, Plaintiff is entitled to punitive damages." (SAC ¶ 40.) Fraud is a statutory basis for punitive damages under section 3294, subdivision (a), and these allegations are sufficient to support the request at the pleading stage.

Conclusion

The demurrer is OVERRULED as to the First, Second, Third, and Fourth Causes of Action and SUSTAINED without leave to amend as to the Fifth Cause of Action. The motion to strike is DENIED.

Defendants to file an Answer within 30 days. Given the age of this case, the Court intends to set trial on 10/25/27 at 10:00 a.m. The parties should be prepared to set the trial date.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.